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DCAC

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1. A nation engages in international trade with its trading partners and is currently an importer of aluminum. Imposing an import tariff on aluminum will affect the domestic market for aluminum in which of the following ways?

	Domestic Quantity Supplied	Domestic Consumer Surplus	Domestic Producer Surplus
A	Increase	Decrease	Decrease
B	Increase	Decrease	Increase
C	No change	Decrease	Decrease
D	Decrease	Increase	Decrease
E	Decrease	Increase	Increase

(A) A

(B) B ✓

(C) C

(D) D

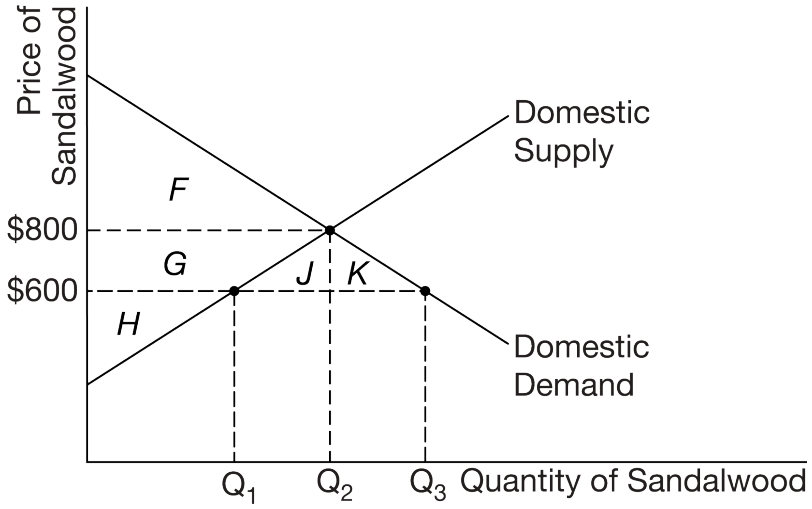
(E) E

Answer B

Correct. An import tariff on aluminum will increase the price of imported aluminum, incentivizing domestic firms to increase their quantity supplied. This increase in the price of aluminum will decrease domestic consumer surplus and increase domestic producer surplus.

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2.



The graph above shows the domestic market for sandalwood in equilibrium at a price of $800 per kilogram in the absence of international trade. Now assume the country begins to engage in international trade, and sandalwood is selling at a price of $600 per kilogram in the world market. Which of the following would most likely result?

(A) The country would increase domestic production to become competitive in the world market.

(B) The country would export sandalwood, and its domestic consumer surplus would increase.

(C) The country would export sandalwood, and its total economic surplus would increase, with the domestic consumer surplus increasing by more than the domestic producer surplus decreases.

(D) The country would import sandalwood, and its total economic surplus would decrease, with both the domestic consumer surplus and the domestic producer surplus decreasing.

(E) The country would import sandalwood, and its total economic surplus would increase, with the domestic consumer surplus increasing by more than the domestic producer surplus decreases. ✓

Answer E

Correct. The country would benefit by importing sandalwood from the world market at a price of $600. The consumer surplus before trade is given by area F and the producer surplus is given by area G + H for a total economic surplus of F + G + H. With trade, the total economic surplus would increase by area J + K, with the consumer surplus increasing by area G + J + K, which is more than the decrease in producer surplus, which is area G. Area G is transferred from producers to consumers. Thus, the total economic surplus with trade is given by the sum of all the areas: F + G + H + J + K.

3. If the government imposes a tariff on imports of cheese, the price and quantity of imported cheese will most likely change in which of the following ways?

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(A)

Price	Quantity
Decrease	Decrease

(B)

Price	**Quantity**
Decrease	Increase

(C)

Price	**Quantity**
Increase	Not change

(D) ✓

Price	**Quantity**
Increase	Decrease

(E)

Price	Quantity
Increase	Increase

4. Which of the following will result in the short run if the government imposes a binding quota?

(A) A decrease in the price paid by consumers
(B) A rightward shift in the supply curve
(C) A leftward shift in the demand curve
(D) An increase in consumer surplus
(E) A deadweight loss ✓

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Answer E

Correct. A binding quota limits the quantity exchanged in the market to the quantity supplied that is less than the equilibrium quantity. As a result, the price paid by the buyers will be higher than that received by the sellers at the limited quantity, moving the market away from allocative efficiency and creating deadweight loss.

5. Country Z is both a producer and an importer of green tea. If country Z imposes a tariff on imports of green tea, which of the following will occur in the domestic market of green tea?

(A) Consumer surplus will increase.

(B) Domestic production will increase. ✓

(C) Total consumption of green tea will increase.

(D) Producer surplus will decrease.

(E) The price paid by domestic consumers will decrease.

Answer B

Correct. The imposition of the tariff increases the domestic price of green tea to producers and to consumers in country Z, which results in an increase in domestic production (an upward movement along the supply curve).

6. Country Z is both a producer and an importer of cloth. Which of the following will happen if the government of Country Z imposes a tariff on cloth and the country continues to import some cloth from abroad?

(A) There will be a decrease in domestic producer surplus.

(B) There will be an increase in the quantity demanded for cloth.

(C) As the country produces more cloth, there will be an efficiency gain for the economy.

(D) There will be a decrease in consumer surplus for domestic consumers. ✓

(E) The domestic consumption of cloth will increase.

Answer D

Correct. The tariff will raise the domestic price of cloth in Country Z. There will be a higher price for cloth, increased domestic production of cloth, reduced imports of cloth, reduced total consumption of cloth, and some efficiency loss. With the higher price for cloth, domestic producer surplus will increase

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and consumer surplus will decrease.

7. The tables below show the domestic demand and domestic supply for two small countries participating in a large global market with a world price of coffee equal to $3.

Country A			Country B		
Price	**Quantity Demanded**	**Quantity Supplied**	**Price**	**Quantity Demanded**	**Quantity Supplied**
2	40	0	0	20	0
3	30	10	1	15	5
4	20	20	2	10	10
5	10	30	3	5	15
6	0	40	4	0	20

Which of the following would be true given the price in the world market is $3 ?

(A) Neither country would export coffee.

(B) Neither country would import coffee.

(C) Country A would import 20 units of coffee, and Country B would export 10. ✓

(D) Country A would export 20 units of coffee, and Country B would import 10.

(E) Given the demand and supply schedules, $3 cannot be an equilibrium global price.

8. Suppose the small country of Aronow imports $40,000\ \text{kg}$ of bananas. The global price of bananas is $\$0.50$ per kg. The government of Aronow collects tariff revenues of $\$4{,}000$ from banana imports.

Which of the following is true?

(A) The consumers in Aronow pay a price of $\$0.60$ per kg of bananas. ✓

(B) The domestic production of bananas in Aronow would increase with the removal of the tariff.

(C) The deadweight loss in the market for bananas in Aronow would increase with the removal of the tariff.

(D) The removal of the tariff would cause domestic consumer surplus in the market for bananas in Aronow to increase but by less than the decrease in domestic producer surplus.

(E) Aronow's total tariff revenue collected in the banana market would be maximized if the per-unit tariff were equal to the difference between its autarky price and the world price.

Answer A

Correct. Imports are equal to $40,000\ \text{kg}$ of bananas. The tax collected by the government is $\$4{,}000$. The tax collected by the government is equal to the tariff times the amount of imports, $\$4000 = \text{tariff} *$

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40,000. Therefore, the tariff must be $.10. Given the global price is $.50, the price paid by domestic consumers is the global price plus the tariff, which is $0.50 + $0.10 = $0.60.

9. Country Z has a downward sloping domestic demand curve and an upward sloping domestic supply curve for widgets. In the absence of trade, the domestic price of widgets is P_0. Now the country engages in trade, and the price for widgets, P_w, is below the domestic price, P_0. Which of the following will occur?

(A) Country Z will begin exporting widgets.

(B) Consumer surplus will decrease in Country Z.

(C) Domestic producer surplus will decrease in country Z. ✓

(D) Domestic production of widgets in Country Z will increase.

(E) The price of widgets received by domestic producers will increase.

Answer C

Correct. With the world price for widgets below the domestic price of widgets, the domestic production or quantity supplied of widgets will decrease, i.e., a downward movement along the supply curve. Therefore, domestic producer surplus will decrease.